

Based upon the cost-benefit analyses of proposed railways other than those created for strategic reasons, such as military needs (to give one example), the Government decided to accept the reality of multiple gauges, with two major networks, one on a broad gauge of 5 ft 6 in width and the other with a gauge of 3 ft 3 $\frac{3}{8}$ in or 1 m, called the metre gauge. The subsidiary or feeder lines would be developed on narrow gauges as necessary. This era of Government construction ensured rapid expansion of the railway network in India.

By 1881, the Government railway system accounted for 3,862 km, the provincial railways covered 1,371 km, and the Princely States boasted of 692 km of network. The new policy regarding the gauges proved to be more economical vis-à-vis the average costs of construction and vindicated the Government's decision to accept the multiple gauge formula. Freight and passenger tariffs were also reduced at this time.

Fiscal discipline

When a famine in Bengal and the North-Western Provinces led to an acute shortage of food grains, the EIR carried more food grains at a reduced tariff to the stricken areas. The results were remarkable as large profits ensued, and for the first time the railways added to the Government's coffers. Between 1879 to 1881, the Madras Railway and the EIR lowered their third-class passenger fares, reaping immediate benefits. The railways now began encashing upon volumes by increasing revenues through reduced tariffs and economy in expenditure also began to show a reduction in the cost of running trains.

Revenue generation and a prudent project financing policy had indeed proved beneficial to the railways. These measures, however, were hardly adequate to render the railway system profitable just yet.